

Bitcoin 2023: Keep Hodling?

Questions

1. What should Brown do with his bitcoin position and explain why?
 - a. Hold
 - b. Sell
 - c. Short
 - d. Something else (explain)

Brown should choose **d) Something else**, implementing a balanced strategy by selling the majority of his position while holding a smaller venture portion. This approach is the only one that resolves his core conflict.

As a responsible fiduciary, he must sell a large portion to lock in his resounding success (a 5x gain) and satisfy his LPs, who are urging him to sell. The risks are no longer just FUD; they are real, new barriers to the institutional adoption his thesis needs, including significant **environmental (ESG) concerns**, the catastrophic **FTX fraud** that damaged confidence, and Bitcoin's recent correlation with tech stocks (Nasdaq) instead of gold, which weakens the inflation-hedge argument.

At the same time, a full sell-off would ignore that he was vindicated for holding through the 2018 crash. By retaining a small stake, he maintains exposure to the asset's potential magic and asymmetric upside, as argued by Bill Miller, and stays open to positive developments like BlackRock's integration of Coinbase Prime.

2. How has the bitcoin/cryptocurrency(crypto) landscape changed over time? Why has interest from institutional investors grown?

How the Landscape Has Changed

The crypto landscape has matured from a niche hobby into a volatile and scrutinized industry.

- **Access:** It's never been easier for retail investors to buy via apps like PayPal and Robinhood. For institutions, regulated products like Bitcoin futures (CME), futures ETFs (BITO), and trusts (GBTC) were created.
- **Risk:** FUD (Fear, Uncertainty, and Doubt) became real. The front-page news failure of FTX damaged confidence due to fraud. Bitcoin's energy use increased more than tenfold since 2017, creating a major ESG barrier for investors. Its use in crime (over \$20 billion in 2022) has also led to calls for a ban.

Why Institutional Interest Grew

Despite the risks, institutional interest grew primarily for two reasons:

1. **Inflation Hedge:** In the wake of COVID-19 monetary policies, investors like Paul Tudor Jones began recommending Bitcoin as an inflation trade, like gold.
2. **Improved Infrastructure:** This was the key enabler. The influx of institutional investors was driven by new prime brokerage services. Critically, BlackRock integrated Coinbase Prime into its Aladdin

platform in 2022, giving its massive institutional client base a direct and trusted way to access the asset.

3. What are some of the key risks faced by bitcoin investors? How does such risk influence your investment thesis?

Key Risks

- **Extreme Volatility:** The price is subject to striking price swings , including crashes of 80% or more.
- **Environmental (ESG) Risk:** Bitcoin's massive energy consumption (more than the state of Virginia) creates a significant barrier for ESG-focused institutional investors.
- **Counterparty & Fraud Risk:** Front-page news failure of prominent players like FTX , which involved alleged fraud , has damaged confidence and exposed the risk of losing all funds.
- **Regulatory Risk:** Bitcoin's use in major criminal activities (over \$20 billion in 2022) has led to calls in Congress to ban crypto.
- **Correlation Risk:** The thesis that Bitcoin is digital gold is undermined by its recent stronger correlation with tech stocks.

Influence on Investment Thesis

- These risks directly attack the investment thesis, which hinged on demand from other investors, especially institutions.
- The ESG and Regulatory risks directly dissuade investment from the conservative pension funds and mutual funds the thesis needs for future growth. FTX fraud damaged confidence, making investors skittish. Finally, Correlation Risk makes Bitcoin a failed inflation trade, removing a primary *reason* for new institutions to invest.

4. At the end of the day, owning a bitcoin just means there is an entry on a digital ledger saying you own a bitcoin. What gives this value? Is bitcoin a currency? Digital gold?

What Gives Bitcoin Value?

Bitcoin has no intrinsic value and does not generate cash flows. Its value comes from other factors:

- **Scarcity:** The supply is algorithmically capped at 21 million units.
- **Social Agreement:** Like gold, much of its value derives from the fact that people agreed it was valuable.
- **Network Effects:** Its value is also tied to its network of users, as described by Metcalfe's Law, where the network's value grows as more users join.

Is Bitcoin a Currency?

No. The case concludes it fails as electronic cash for three key reasons:

- **Extreme Volatility:** It's roughly ten times more volatile than major currencies, limiting its use.
- **Slow Transactions:** The network is slow, with new blocks mined only every 10 minutes.
- **Low Adoption:** It is not widely used for payments, and the El Salvador experiment saw low adoption (less than 5% of sales).

Is Bitcoin Digital Gold?

It's a popular but flawed comparison. While both are scarce, the case highlights critical differences:

- Gold has **actual uses** (electronics, jewelry) that provide a floor on its price .
- Bitcoin did not have such uses, and its intrinsic value was zero.

Most importantly, the digital gold theory is undermined by its recent price behavior. The case notes Bitcoin has recently had a **stronger correlation with tech stocks** than with gold, meaning it has not acted as a unique store of value.